

## Sectoral Projections

### Pharma & Chemicals

Wait and watch is the mantra as the players cope with the slow-down. Companies with global presence have kept hiring on hold.

**66%**

hiring affected.  
Limited growth likely.

### Engineering

New orders are drying up affecting the manufacture of machinery and equipment. The SSI sector is specially hit by the economic downturn.

**51%**

jobs to take a hit as companies decide to wait and watch.

### Transport & Logistics

Impacted by the slowdown in retail, construction and consumer goods players put expansion plans on hold.

**78%**

jobs are likely to be slashed next year.

**“ With a 30 per cent fall in the number of dollar orders, job cuts are imperative. ”**

A. SAKTHIVEL,  
President, Tirupur  
Exporters Association

BANDEEP SINGH



## Hospitality

The India Story and the Incredible India Story fuelled an unprecedented boom. Already hurting with a dip in corporate travel and lower occupancies, the sector fears the worst following the global meltdown as both tourists and business travellers drop off the radar.

**50%**

OF THE EXPECTED JOBS  
ARE SLASHED AS MOST  
PLAYERS PUT BRAKES ON  
THEIR EXPANSION PLANS.

**“ About 4.5 lakh people may not get employment in the hotel industry next year. ”**

PATU KESWANI, CMD, Lemon Tree Hotels

nually. In many ways, the India Story and the Incredible India spin were luring travellers into the country. Suddenly with the global economy going into a tailspin, hotels are reporting low occupancy. In Goa and Kerala, tour operators are already reporting lower charter arrivals. Prafulla Hede, chairman of the Hede Group, reveals that already low occupancy levels in hotels are expected to dip further by early next year. Aviation, the co-occupant of this ride downhill, is struggling to survive between high costs and low traffic. One airline flying Bangalore-London is losing a crore every day it flies. Back home too traffic has dropped by 20 per cent. Last week, Civil Aviation Minister Praful Patel was so struck by the empty lounge that he asked the Kingfisher staff whether the flight was going and if boarding had started. It

had and there were barely 40 passengers on the busy Mumbai-Delhi route.

The choice companies are making is between saving jobs and survival. And the crux is in the timing. For the first time in decades, India seemed to be at the right time at the right place when global growth took off in 2003. Companies went into an overdrive of investment, acquisition and expansion. The optimism was fuelled by two critical factors—valuation derived from domestic demand and global optimism. In their mid-investment cycle, companies were first hit by the old phantom called inflation. In perpetual election mode, the Government ignored supply side issues and attacked demand. As interest rates were hiked, sales in three critical sectors—real estate, automobiles and consumer goods